

(no entity other than the user can determine how to use funds), and portability (can send any quantity anywhere for a low flat fee). These features combined in a single technology make cryptocurrency a powerful innovation.

The value proposition of Bitcoin is important and can be best understood juxtaposed with that of other financial assets. For example, consider the U.S. dollar (USD). It used to be backed by gold before the gold standard was abandoned in 1971. Now, the demand for USD comes from (a) taxes, (b) purchase of U.S. goods denominated in USD, and (c) repayment of debt denominated by USD. These three cases create value that is not intrinsic but rather is based on the network that is the U.S. economy. Expansion or contraction in these components can impact the price of the USD. Additionally, shocks to the supply of USD adjust its price at a given level of demand. The Fed can adjust the supply of USD through monetary policy in an attempt to achieve financial or political goals. Inflation eats away at the value of USD, decreasing its ability to store value over time. One might be concerned with runaway inflation – what Paul Tudor Jones calls *the great monetary inflation* – which would lead to a flight to inflation-resistant assets.⁹ Gold has proven to be a successful inflation hedge due to its practically limited supply, concrete utility, and general global trustworthiness. However, given that gold is a volatile asset, its historical hedging ability is realized only at extremely long horizons.¹⁰

Many argue that Bitcoin has no “tangible” value and therefore should be worthless. Continuing the gold comparison,